

Business Analytics case Study: Telco Customer Churn Analysis

1. Introduction

Customer retention is a major challenge in the telecommunications industry. As competition increases, customers can easily switch to other service providers, making it important for companies to understand why customers leave. This analysis explores customer behavior using the Telco Customer Churn dataset to identify the factors influencing churn and provide recommendations that can improve customer retention.

2. Business Problem Statement

The telecommunications company is experiencing customer churn, resulting in revenue loss and reduced customer lifetime value. The objective of this project is to identify the factors contributing to customer churn and provide actionable recommendations that help the company retain more customers.

3. Business Objectives

The objectives of this analysis are to:

- . Determine the overall customer churn rate.
- . Identify the customer segments with the highest churn.
- . Analyze the relationship between churn and customer characteristics such as contract type, payment method, internet service, monthly charges, and tenure.
- . Recommend strategies to improve customer retention and reduce churn.

4. Business Questions

This project seeks to answer the following questions:

- . What is the overall churn rate?
- . Which contract has the highest churn?
- . Does internet service influence customer churn?
- . Which payment methods are associated with higher churn?
- . How do monthly charges and tenure relate to customer churn?

5. Stakeholders

The findings from this analysis will benefit:

- . Executive Management
- . Marketing Department

- . Customer Retention Team

- . Customer Support Team

- . Sales Team

6. Expected Business Impact

By implementing the recommendations from this analysis, the company can:

- . Improve Customer retention.

- . Reduction customer acquisition costs.

- . Increase customer lifetime value.

- . improve customer satisfaction.

- . increase long-term profitability.

7. Conclusion

Understanding the factors that drive customer churn enables the company to make informed business decisions. This analysis provides insights that can help management develop effective customer retention strategies and improve overall business performance.